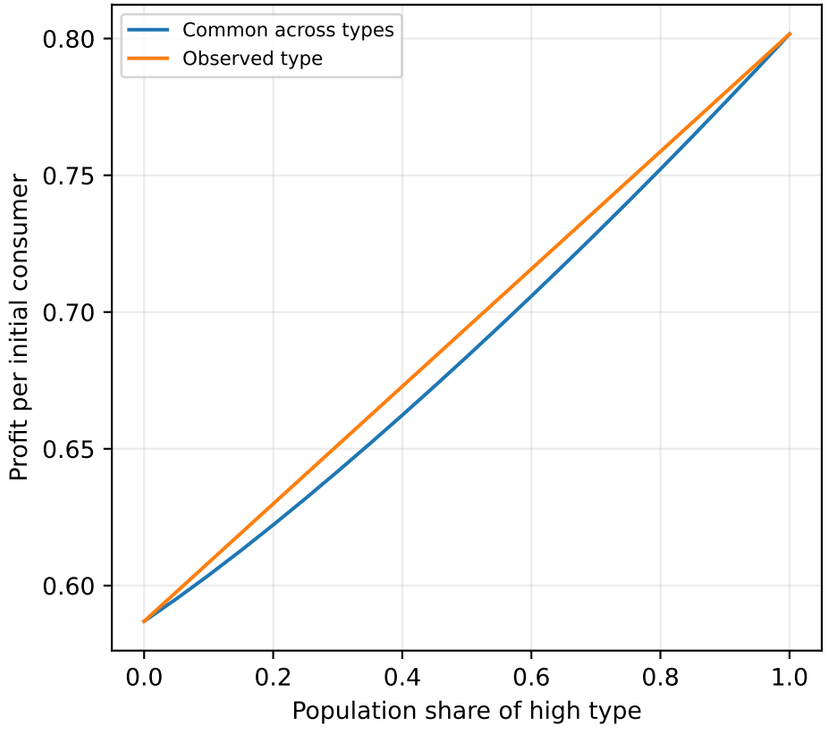
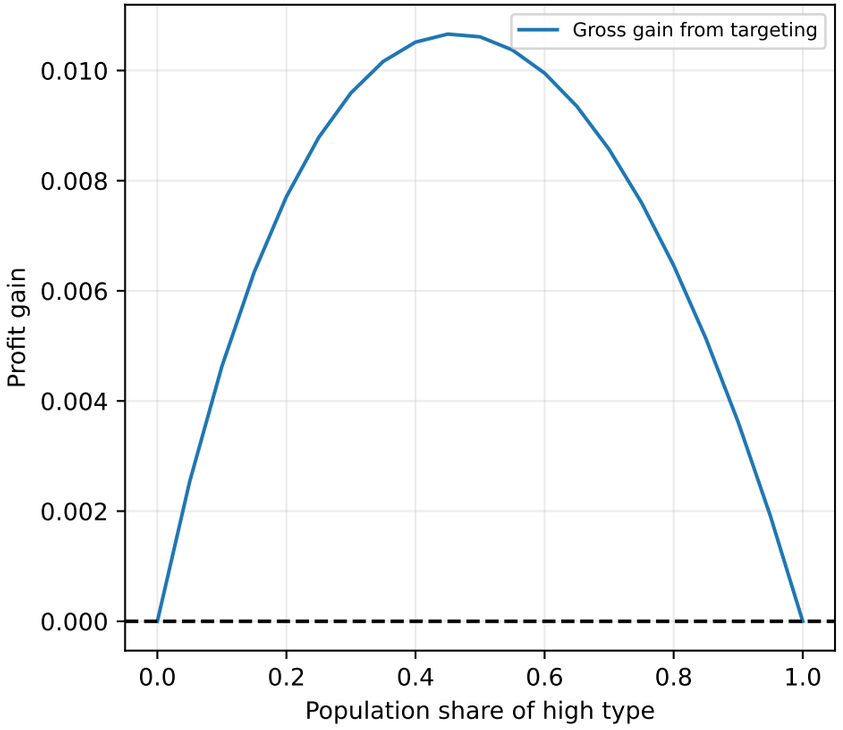
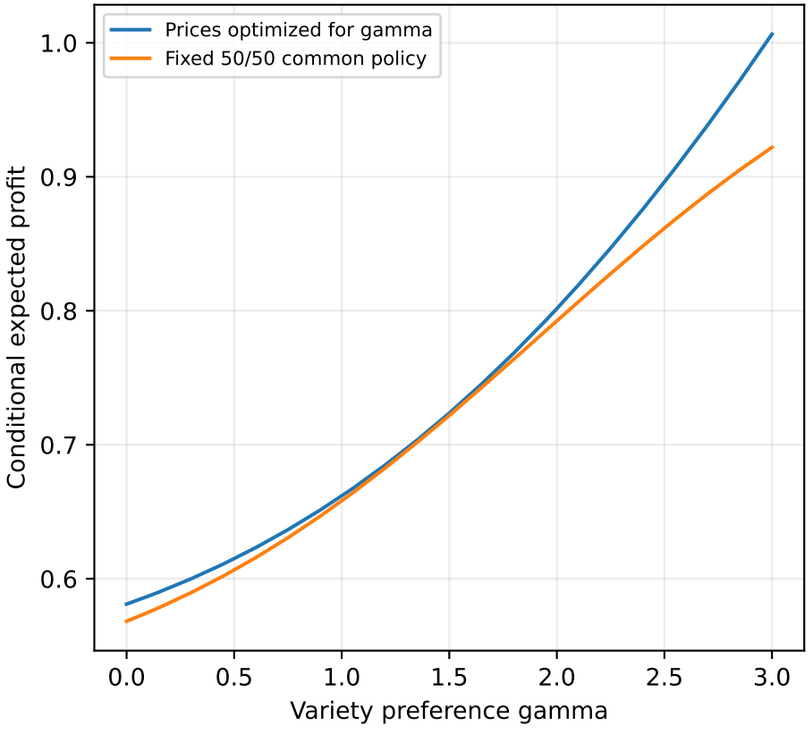

Common across types
Observed type
Profit per initial consumer
0.80
0.75
0.70
0.65
0.60
0.0
0.2
0.4
0.6
0.8
1.0
Population share of high type


Gross gain from targeting
Profit gain
0.010
0.008
0.006
0.004
0.002
0.000
0.0
0.2
0.4
0.6
0.8
1.0
Population share of high type


Prices optimized for gamma
Fixed 50/50 common policy
Conditional expected profit
1.0
0.9
0.8
0.7
0.6
0.0
0.5
1.0
1.5
2.0
2.5
3.0
Variety preference gamma